

exchanges, leading to a sharp decline in trading volumes. The services were disconnected because of the RBI's strict stance against cryptos. Recently, speaking at an earnings call to discuss their first quarter financial results, Coinbase CEO Brian Armstrong said that it disabled its Unified Payments Interface (UPI) services because of "informal pressure" from the RBI.

"India is a unique market, in the sense that the Supreme Court ruled that they can't ban crypto, but there are elements in the government, including the RBI, who don't seem to

be as positive on it," he said.

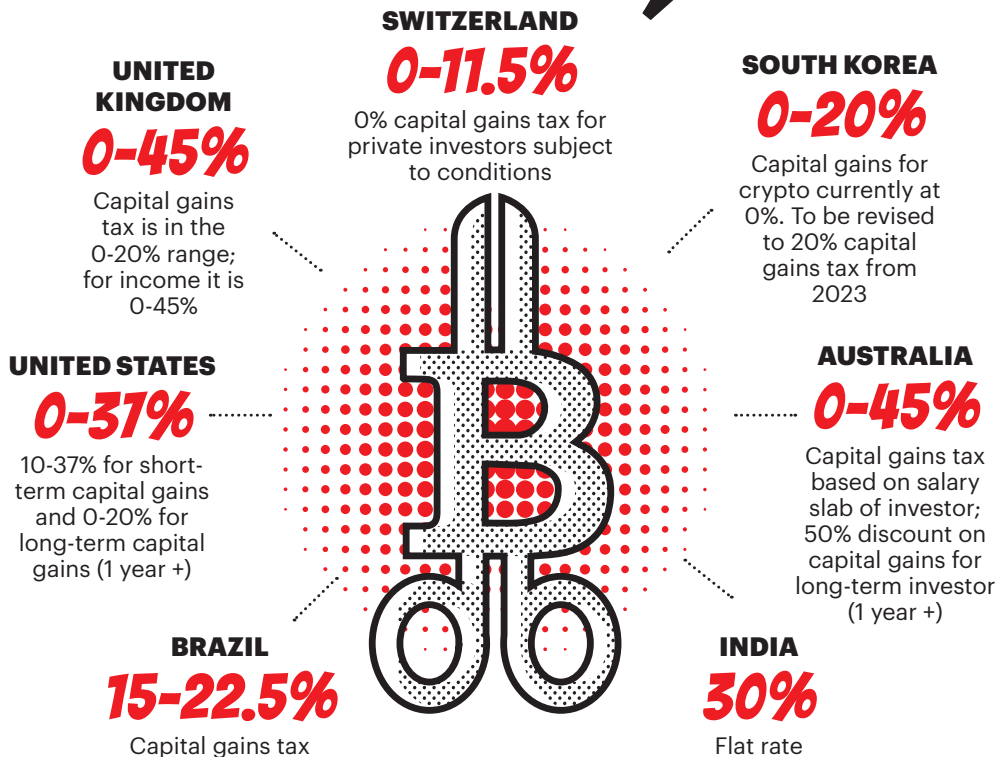
Soon after Coinbase's announcement that it would allow users to purchase cryptos using UPI—an instant, real-time payment system—it came under the regulatory lens. The National Payments Corporation of India (NPCI), an umbrella organisation for operating retail payments and settlement systems that oversees UPI, released an official statement clarifying, "we are not aware of any crypto exchange using UPI".

The sudden suspension of UPI services has left the exchanges in the lurch. Exchanges are now resorting

to peer-to-peer (P2P) transfer of cryptos in the absence of banking services. "There is a significant decrease in volume but much of it can be attributed to a lack of support from banking channels. We have re-launched P2P trading to ensure customers are able to access crypto seamlessly," says Vikram Subburaj, CEO of Giottus Crypto Exchange.

Given the RBI's clear stance on cryptos, payment services are keeping a safe distance from cryptocurrency exchanges in India. "We, as an intermediary and a soon-to-be licensed payment aggregator, are very

CRYPTO TAXES IN MAJOR COUNTRIES



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